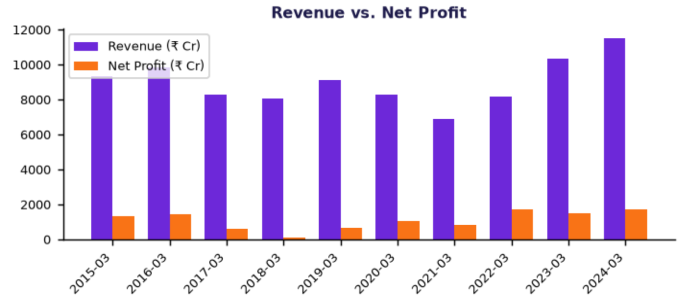
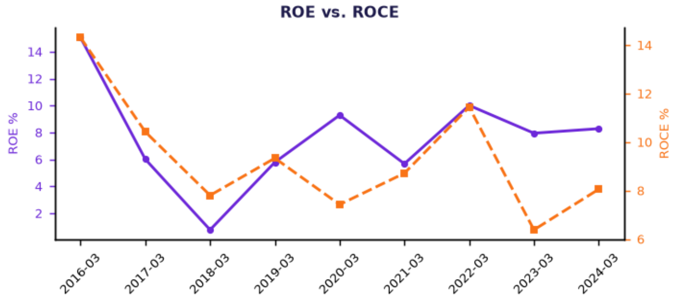
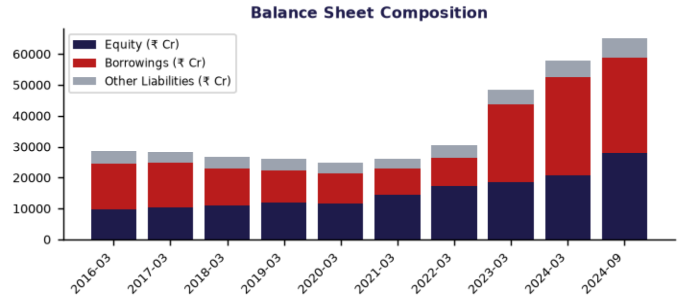
JSW Energy Ltd

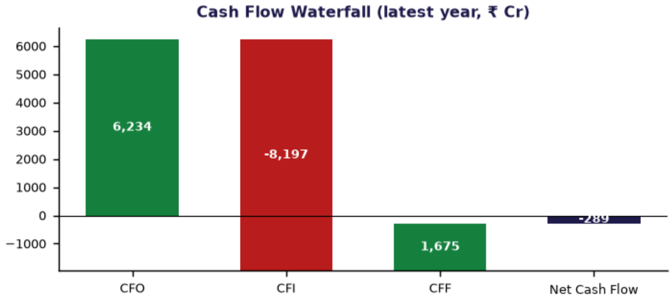
JSWENERGY · Energy / Power & Utilities

ROE	ROCE	Net Profit Margin
8.28%	**8.05%**	**15.02%**
D/E	Revenue CAGR 5yr	FCF (Rs. Cr)
1.52	**4.68%**	**-1,963**









Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (100% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (74% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (61% confidence)

Cons

✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (73% confidence)
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (70% confidence)
✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (61% confidence)

Capital Allocation Pattern: **Mixed**